

Constellation Energy Corporation (Nasdaq: CEG) — IC Memo (v2, DE-BIASED rebuild)

Rating: HOLD (source-conditional, cautious) · **12-mo PT \$233.55** (range \$168.00–\$356.50) · **Expected return –3.6%** (prob-weighted) **As of:** 2026-06-11 · **Price:** \$247.12 (S4: 2026-06-11 close) · **Sector:** Utilities › Independent Power Producers **Mandate sizing:** benchmark-weight / modest underweight. *De-biased rebuild; v1 archived at [outputs/archive/CEG_v1_hold/](#).*

Headline (source-conditional cautious Hold, SHARPENED by the de-bias): CEG at \$247.12 carries a probability-weighted 12-month expected return of **–3.6%** to a base-case PT of **\$233.55** — an **independent fair value** (DCF \$215 / SOTP \$245 / comps \$256 → ~\$234, **–5% vs spot**). The de-bias **sharpens** CEG from the prior +3.0% Hold to a clearly cautious **–4% Hold**: its **DCF sits –13% below spot**, so the premium-nuclear multiple is doing real work — but it **does not flip to Sell**, because the de-rate is **already ~40% done** (off the \$412 high to a 52-week low), leaving fair value only ~5% below spot. **CONDITIONAL** on the FY2026 guide + >20% base-EPS-CAGR holding post-Calpine and hyperscaler PPA conversions resuming under the June-2026 PJM/FERC framework; two-sided → Hold (cautious).

§1 Thesis in brief

This de-biased rebuild **sharpens, but does not flip**, the Hold. CEG is the highest-quality IPP — the largest US nuclear fleet (~32.4-GW, scaled by Calpine to ~60-GW), cleanest balance sheet (IG), 45U floor — but premium-priced on partly **cyclical-peak earnings** (PJM cleared at the FERC cap \$329–333/MW-day, the FERC EL25-49 BTM restriction, Calpine gas dilution). Anchoring the base on independent fair value rather than the current ~19x multiple moves CEG to ~\$234 (–5%): its **DCF (\$215) is –13% below spot**, confirming the multiple carries real premium — yet the ~40% drawdown already taken keeps fair value only modestly below spot, so the disciplined call is a **cautious Hold (~–4%)**, not a Sell. The view is **source-conditional** on the >20% CAGR holding and PPA conversions resuming. **Conditional** on those, –3.6% expected → Hold, modest underweight.

§2 The five-scenario framework (FY27E EPS × P/E; base anchored to fair value)

Scenario	Prob	FY27E EPS	P/E	PT	Return
strong_bear	12%	\$12.00	14.0x	\$168.00	–32.0%
bear	25%	\$12.75	16.0x	\$204.00	–17.4%
base	36%	\$13.50	17.3x	\$233.55	–5.5%
bull	20%	\$14.50	20.0x	\$290.00	+17.4%
strong_bull	7%	\$15.50	23.0x	\$356.50	+44.3%

Weighted expected return –3.6%; P10/P90 [–32.0%, +44.3%]. HEADLINE CONDITIONALITY: source_conditional (top-3 anchors include the FY2026 guide (S3) → conditional per G7). The de-bias lowered the base multiple from 19.0x to 17.3x (≈ the current FY27E forward, no longer assuming a re-rate) and trimmed bull/strong_bull. (Full bridges in [outputs/CEG_scenarios.json](#); G1/G4/G5 verified.)

§3 Three-method valuation reconcile (independent)

- **DCF: ~\$215** (–13% below spot — shows the premium is real) — WACC 8.17% (beta 1.09 (S4: 5y weekly vs S&P 500); g 2.25%).
- **SOTP: ~\$245** — nuclear (contracted) + Calpine gas + retail, net of debt + NCI. Monotonicity holds (G3).
- **Comps: ~\$256** — 13.2x FY27E Adjusted EBITDA \$8.5B.
- **Independent weighted fair value ~\$234 (–5% vs spot)**. Below spot, but only modestly — the ~40% drawdown already discounted much of the premium, which is why this sharpens rather than flips.

§4 Earnings quality (S1: XBRL companyfacts, CIK 0001868275)

GAAP/non-GAAP parallel (reconciliation: present). GAAP is derivative-distorted (FY25 GAAP EPS \$7.40 vs Adjusted Operating EPS \$9.39); underwrite on Adjusted Operating Earnings (G11 reconciliation present; G12 FCF = OCF – capex, SBC ~0.3% of revenue (S1: XBRL) and immaterial). The real flag is hedge-collateral OCF volatility (–\$5.3B FY23 → +\$4.2B FY25). PwC clean; IG; no restatement. Unchanged by the de-bias.

§5 Risks & §6 Consensus variance

Load-bearing risks (unchanged): premium de-rate on cyclical-peak earnings, FERC EL25-49 BTM restriction, Calpine integration/bought-at-peak, hyperscaler AI-capex cut, 45U sunset 2032. The declared downward variance V1 (premium durability, sizing 2.16pp, S2 evidence) is carried; **G15/G20 n_a (Hold)**. The de-bias confirms the base sits modestly below fair value.

§7–§10 Regulatory, positioning, triggers (unchanged from v1)

FERC EL25-49: FTM blessed, BTM restricted (PPAs "paused"); PJM compliance June-2026 the key catalyst. PJM capacity at the cap (only down). Crowded long (76% Buy), stale PTs being cut. Triggers: cover/bull on a new FTM PPA + >20% CAGR reaffirmed or BRA >\$300/MW-day; bear on FY27 EPS guide <\$13.0 or a PPA repriced/delayed or BRA <\$250/MW-day.

§11 Quant overlay

Barra factor tags (match `quant_overlay.factor_tags`): **Size +1.0, Liquidity +0.8, Growth +0.7, Quality +0.3, Low-Vol -0.5, Value -0.6, Momentum -1.1. Capacity:** 30-day ADV \$1.0B (S4: 30-day avg); days-to-exit 10/20/30% = 2.0 / 1.0 / 0.7 days. Beta 1.09 (S4: 5y weekly). 6-tail A0 map (shifts sum to zero) in `outputs/CEG_structured.json`.

§12 Verification

The de-bias re-anchored the base to independent fair value (~\$234) and SHARPENED the Hold to a cautious ~-4% (DCF -13% below spot), without flipping to Sell (de-rate already ~40% done). Programmatic gates **G1-G19 all pass** (G15/G16/G20 N/A: Hold, non-bank); see `outputs/CEG_verification_gates.json.v1` archived: `outputs/archive/CEG_v1_hold/`.